



After an extensive study of the literature available on the subject I started observing my own behaviour when it came to decisions regarding money matters. Of course this had more to do with investing as it happens to be my profession. I also studied the behaviour of my institutional and retail clients when they made their investment decisions. As an intermediary I came across many cases of irrational behaviour and this pushed me to pursue a deeper understanding of this field. The examples given in this book are all drawn from my dealings with my clients, friends, colleagues and associates.



If Investments do Well, Why do Investors Fare Poorly?

➤ **Table 4.1 Returns 1984–2004**

<i>Equity</i>	<i>PPF</i>	<i>Cash</i>
15.8%	11.2%	4%

Studies of different types of investments over the past 20 years show that equities have done exceedingly well with returns of 15.80 per cent. Yet whenever we ask investors about their performance, the majority say that equity investments are risky and they have lost money in the stock market. They always curse the volatility and blame it for their losses. Even well educated investors with an above average IQ do not do well on the stock markets. It's a paradox that while equity investments have done well investors have done poorly. The reality is that human beings make decisions not only with their minds but also with their hearts. Our emotions define us and we make most of our life decisions on purely emotional considerations. Our logic and rationale only retrospectively justify these decisions; they do not determine them. Our emotions are subject to change rapidly and this affects our behaviour and decision-making.